NOVATECH CORPORATION

Board of Directors - Q1 2025 Meeting Minutes

Date: March 12, 2025 | Location: NovaTech HQ, Boardroom A, San Francisco, CA

Classification: EXECUTIVE EYES ONLY

1. Attendees

Directors present:

- Margaret Holloway - Chairperson
- James Okafor - CEO
- Priya Nair - CFO
- David Chen - CTO
- Sandra Lopes - Independent Director
- Thomas Brandt - Independent Director

Also in attendance: Elena Vasquez (General Counsel, Secretary), Marcus Webb (VP Strategy)

2. Call to Order

Chairperson Margaret Holloway called the meeting to order at 9:04 AM PST. A quorum was confirmed with six of six directors present. The agenda was approved without amendment.

3. Q4 2024 Financial Review

CFO Priya Nair presented the Q4 2024 and full-year financial results. Key highlights:

- FY 2024 revenue: $214.7 M (+31% YoY). Exceeded the $205 M guidance midpoint.
- Gross margin: 68.4% (up 210 bps YoY), driven by cloud infrastructure optimisation.
- Adjusted EBITDA: $38.2 M (17.8% margin), vs. $21.1 M in FY 2023.
- ARR as of December 31, 2024: $198.3 M (+28% YoY); net revenue retention 118%.
- Cash and equivalents: $87.4 M; revolving credit facility ($50 M) undrawn.
- Q4 headcount: 1,142 FTEs (+187 vs. Q3); burn rate within plan.

The Board noted strong execution against the Rule-of-40 target (48 points) and approved the audited financial statements for filing. Motion carried 6-0.

4. FY 2025 Budget & Operating Plan Approval

CEO James Okafor presented the FY 2025 operating plan:

- Revenue target: $285 M (midpoint); growth of 33% YoY.
- R&D investment: $62 M (21.7% of revenue) - increased allocation for AI/ML product suite.
- Sales & Marketing: $74 M, targeting 40 new enterprise logos and expansion into EMEA.
- Capex budget: $11 M, primarily data-centre co-location upgrades and security infrastructure.

- Headcount plan: net +220 FTEs by year-end; 90 roles in Engineering, 65 in Sales.

Independent director Sandra Lopes raised a question regarding EMEA go-to-market readiness. VP Strategy Marcus Webb confirmed a Dublin office lease has been signed (effective May 1, 2025) and that two regional VP hires are in final-round interviews. The Board approved the FY 2025 budget. Motion carried 5-1 (Brandt abstained pending updated risk register).

5. Strategic Acquisition - Project Falcon (CONFIDENTIAL)

CEO James Okafor and VP Strategy Marcus Webb presented a proposed acquisition of Synthetix AI Ltd. (codename: Project Falcon), a UK-based machine-learning data-platform company with $18 M ARR and 62 employees. Key discussion points:

- Indicative enterprise value: $95-110 M (5-6x ARR); cash-and-stock structure proposed.
- Strategic rationale: accelerates NovaTech's AI roadmap by 18-24 months; fills a critical data-pipeline gap identified in the 2024 product strategy review.
- Integration risk flagged by CTO David Chen: Synthetix runs on GCP; NovaTech is AWS-native. Estimated migration effort: 9-12 months, $4-6 M cost.
- Due diligence: financial and legal DD is 60% complete (conducted by Deloitte and Latham & Watkins).
- Exclusivity period expires April 4, 2025. Board authorised management to extend by 30 days if needed.

The Board authorised management to proceed to final-offer stage at up to $108 M enterprise value, subject to satisfactory completion of due diligence and General Counsel sign-off on UK regulatory clearance. Motion carried 6-0. Information restricted to Board members and named deal team.

6. Executive Compensation Committee Report

Independent director Thomas Brandt, chair of the Compensation Committee, presented the FY 2025 executive compensation framework:

- CEO base salary: $520,000 (no change); target bonus 80% of base, tied to revenue and EBITDA KPIs.
- CFO and CTO base salaries increased 6% (in line with market benchmarking by Radford/Aon).
- Long-term incentive refresh: Board approved a pool of 1.2 M RSU grants for C-suite and VPs, vesting over 4 years with a 1-year cliff.
- FY 2024 executive bonuses: CEO 94% payout; CFO 101% payout; CTO 88% payout (based on attainment of financial and strategic milestones).

The Board approved the compensation framework as presented. Motion carried 6-0. Full compensation schedules are maintained in the Compensation Committee charter (restricted).

7. Risk & Compliance Update

General Counsel Elena Vasquez presented the quarterly risk register highlights:

- Cybersecurity: SOC 2 Type II audit completed January 2025; zero critical findings. ISO 27001 certification target: Q3 2025.
- Litigation: one pending employment dispute (filed Feb 2025); outside counsel estimates low exposure.
- Data privacy: GDPR gap assessment underway ahead of EMEA expansion; completion Q2 2025.
- Regulatory: no material regulatory changes affecting core SaaS business in current quarter.

The Board noted satisfactory risk posture and requested an updated cyber-insurance coverage review by Q2 2025 given the planned headcount growth and EMEA operations.

8. Other Business

Chairperson Holloway noted that the Q2 2025 Board meeting is scheduled for June 18, 2025, at NovaTech HQ. A strategy offsite for independent directors is planned for May 8-9, 2025 (location TBC). No other business was raised.

9. Action Items

Action	Owner	Due Date
File audited FY 2024 financials with auditors	Priya Nair (CFO)	March 28, 2025
Extend Project Falcon exclusivity if needed	James Okafor (CEO)	April 2, 2025
Complete GCP-to-AWS integration cost estimate	David Chen (CTO)	April 18, 2025
Finalise EMEA GDPR gap assessment	Elena Vasquez (GC)	June 1, 2025
Deliver updated cyber-insurance coverage review	Elena Vasquez (GC)	June 18, 2025
Confirm Q2 Board meeting logistics	Elena Vasquez (GC)	April 30, 2025

10. Adjournment

There being no further business, Chairperson Holloway adjourned the meeting at 11:47 AM PST.

These minutes are a true and accurate record of the proceedings.

Approved by:

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Margaret Holloway, Chairperson Elena Vasquez, Secretary

Date: ____________________ Date: ____________________